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PRESS RELEASE

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KCB Group Q3 Pre-Tax Profit Grows 18.3% to KShs. 22.9Bn

Strong loan growth in Kenya business and prudent cost management initiatives.

Strong loan growth in Kenya Business and prudent costs management initiatives helped push up KCB Group pretax profits 18.3 per cent in the third quarter of 2016.

Profit before tax for the nine months ending September 30, 2016 rose to KShs. 22.9Billion from KShs. 19.3Billion in a similar period last year, KCB Group CEO and MD Joshua Oigara said today.

Key Highlights

Total Assets: Down 6% from KShs. 607.2Billion to KShs. 570.1Billion	Profit Before Tax: Up 18.3% from KShs. 19.3Billion to KShs. 22.9Billion
Net Loans and Advances: Up 5% from KShs. 347.6Billion to KShs 364.5Billion	Net Interest Income: Up 27% from KShs. 28.3.Billion to KShs. 36.1 Billion
Customer deposits: Down 7% from KShs. 471Billion to KShs 436.8Billion	Total Expenses: Up 7% from KShs. 22.4Billion to KShs. 24Billion
Shareholder Funds: Up 12% from KShs. 81.8Billion to KShs. 91.9Billion	Provisions for bad debts: Down 11% from KShs. 3.8Billion to KShs.3.4Billion on enhanced recoveries, upgrades and Credit Processes.
Liquidity Ratio: 30.7% (CBK minimum-20%).	
Long term debt funding: Down 29% from KShs. 22.5Billion to KShs. 15.9Billion	



The Group recorded a 27% growth in Net Interest Income, driven by asset book growth, better yields and reduction in cost of funds.

“The performance reflects continued resilience across the seven markets that we operate in. The business benefitted largely from a diversified income structure, prudent cost management and deliberate investments in infrastructure and digital channels,” said Mr. Oigara while releasing the results.

The Q3 financials showed that total expenses increased by 7%, to support business growth, investment in channels and infrastructure. Provisions for bad debts were down 11% -- to KShs.3.4Billion in September 2016. Overall Group gross nonperforming loans declined by KShs.1.9Billion on a quarter to quarter basis on the back of enhanced Credit processes and recoveries.

In the month of August 2016, the bank successfully re-implemented an upgrade of its core banking system T24 to boost operational efficiencies, facilitate technology innovation, and allow for easier interface with other platforms and increase reliability. “The new system offers increased functionality and great customer experience and is a firm base for our journey towards a service oriented architecture in line with our customer strategy,” added the Group CEO.

The Group’s total assets declined by 6% year on year attributed to currency devaluation in South Sudan market. Total assets without the South Sudan



component increased by 10%. The pressure on the South Sudan Pound continues to grow since December 2015 when the currency was floated.

Mr Oigara said the Group's asset book is poised to grow steadily as the Bank makes bigger investments in technology systems and digital platforms to support the business while consolidating the international business. "We see the new fin-tech capabilities giving us a strong business position and stable performance in the coming years as the future of banking shifts into digital," said Mr. Oigara.

The financials indicate that net loans and advances were up 5% from KShs. 347.6Billion to KShs 364.5Billion during the period. This growth was largely driven by the Kenya business which registered an 8% growth. KCB's loan portfolio is fairly diversified across sectors, reflecting the variety of the Kenyan economy and its buoyant private sector.

The devaluation of the South Sudan pound negatively impacted Group deposits leading to a 7% decline. However, KCB Bank Kenya Customer deposits had an impressive growth of 14% as a result of customers seeking to place their money where they felt safe.

The number of users currently on mobile phone stands at 10.2Million, while the number of mobile accounts grew by 98% from 4.3Million in Quarter 3, 2015 to 8.3Million in a similar period this year. The registered customers on mobile make up over 75% of the total customer base in the Bank. Over



KShs.17Billion has been disbursed in loans for the past 18 months. Mobile loans hit an average of 80,000 per day on daily requests in the month of September 2016 offering an efficient and trusted platform for our customers. The success of our mobile platforms has enabled the Bank to process up to 91% of our total loan transactions in the past nine months of the year.

“The uptake of non-branch channels has contributed 73% of our total Bank transactions in comparison to last year at 62% with mobile contributing the highest from 29% to 35% in line with our digital financial services strategy,” said Oigara.

Late October, global rating agency Standard & Poor’s (S&P) revised KCB Bank’s rating to ‘B+/B’ and outlook from negative to stable in line with a similar outlook for Kenya. In its latest assessment of the region’s biggest bank by asset and profitability, S&P said that the positive rating and improved outlook is supported by solid profitability metrics, a strong domestic retail and corporate franchise, strong capital buffers, a well-structured deposit-based funding model and high level of liquid assets. With a new operating environment in the Kenya’s financial sector following the enactment of a law capping interest rates, S&P believes that KCB is best placed to weather the storm citing the lender’s well established retail and corporate franchise.



The Bank maintained a strong show on all prudential ratios with core capital to total risk weighted assets at 14.7% (CBK minimum-10.5%), total capital to total risk weighted assets at 15.9% (CBK minimum-14.5%).

The high capital and liquidity ratios mean the Bank has strong headroom to fund bigger projects in the East African region and sustain a profitable business model that delivers impressive returns for shareholders.

Going forward, the Bank will focus more on technology to drive the future business. KCB plans to launch a FinTech business that will complement our business landscape for centralizing our digital platform to provide seamless services to our customers. We take cognizance of the digital monetization revolution, youth dividend, financial inclusion and the entrepreneurship space, nurturing young businesses for growth through the Fintech platform.

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About KCB Bank Group

KCB Bank Group is East Africa's largest commercial Bank that was established in 1896 in Kenya. Over the years, the Bank has grown and spread its wings into Tanzania, South Sudan, Uganda, Rwanda, Burundi and Ethiopia (Representative Office). Today KCB Bank Group has the largest branch network in the Region with over 250 branches, 962 ATMs and 12,000 agents offering banking services on a 24/7 basis in East Africa. This is complemented by mobile banking and internet banking services with a 24hour contact center services for our customers to get in touch with the Bank. The Bank has a wide network of correspondent relationships



totaling over 200 banks across the globe and our customers are assured of a seamless facilitation of their international trade requirements wherever they are.

KCB GROUP LIMITED
UN AUDITED QUARTERLY FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30TH SEPTEMBER 2016

	BANK					GROUP CONSOLIDATED				
	30-Sep-15 Kshs 000 Un-Audited	31-Dec-15 Kshs 000 Audited	31-Mar-16 Kshs 000 Un-Audited	30-Jun-16 Kshs 000 Un-Audited	30-Sep-16 Kshs 000 Un-Audited	30-Sep-15 Kshs 000 Un-Audited	31-Dec-15 Kshs 000 Audited	31-Mar-16 Kshs 000 Un-Audited	30-Jun-16 Kshs 000 Un-Audited	30-Sep-16 Kshs 000 Un-Audited
I STATEMENT OF FINANCIAL POSITION										
A ASSETS										
1 Cash (both Local & Foreign)	6,914,087	7,456,227	7,548,231	6,590,668	6,535,156	16,269,430	11,964,522	11,690,738	10,912,667	10,434,929
2 Balances due from Central Bank of Kenya	17,908,270	23,962,327	29,413,682	34,926,342	16,709,811	17,908,270	23,962,327	29,413,682	34,926,342	16,709,811
3 Kenya Government and other securities held for dealing purposes	1,082,639	805,790	755,513	805,155	8,772	1,082,639	805,790	755,513	805,155	8,772
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-	-	-
5 Investment securities: a) Held to Maturity: a. Kenya Government securities	43,624,160	43,256,718	43,592,042	43,759,708	42,127,026	43,624,160	43,256,718	43,592,042	43,759,708	42,127,026
b. Other securities	-	-	-	-	-	31,613,264	14,588,019	15,937,605	14,236,781	11,658,655
b) Available for sale: a. Kenya Government securities	22,894,211	33,827,214	45,217,894	37,489,753	46,967,903	22,894,211	33,827,214	45,217,894	37,489,753	46,967,902
b. Other securities	845,000	76,743	68,033	61,099	845,000	845,000	4,470,837	68,033	61,099	51,608
6 Deposits and balances due from local banking institutions	575,575	3,171,300	4,200,000	4,200,000	5,700,000	575,575	3,171,300	4,200,000	4,200,000	5,700,000
7 Deposits and balances due from banking institutions abroad	7,709,971	6,083,421	1,041,836	1,597,002	3,386,799	96,548,215	49,408,021	36,080,572	39,627,014	39,904,979
8 Tax recoverable	249,227	-	-	-	-	210,769	161,406	203,486	158,026	161,733
9 Loans and advances to customers (net)	309,091,297	312,079,984	313,053,740	315,326,989	332,283,047	347,649,654	345,968,686	345,943,452	347,395,962	364,525,409
10 Balances due from group companies	204,184	297,343	2,786,443	1,496,801	708,539	-	-	-	-	-
11 Investments in associates	-	125	-	-	-	-	-	-	-	-
12 Investments in subsidiary companies	12,709,067	12,709,067	-	-	-	-	-	-	-	-
13 Investments in joint ventures	-	-	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-	-	-
15 Property and equipment	5,946,854	7,045,892	6,160,253	6,388,275	6,224,587	9,376,378	9,027,824	8,383,551	8,676,018	9,143,595
16 Prepaid lease rentals	139,808	134,503	218,960	133,255	132,632	277,992	136,578	134,783	133,255	132,632
17 Intangible assets	1,249,742	1,295,556	1,907,044	2,161,489	2,674,919	1,367,813	1,427,857	2,028,542	2,284,682	2,775,566
18 Deferred tax asset	2,174,706	3,340,452	3,340,452	3,340,452	3,340,452	2,369,866	3,879,306	3,865,137	3,762,026	3,754,824
19 Retirement benefit asset	1,835,000	980,000	980,000	980,000	980,000	1,835,000	980,000	980,000	980,000	980,000
20 Other assets	10,621,717	11,218,511	10,956,178	8,862,280	12,446,435	12,803,675	11,057,650	12,296,745	10,533,490	15,063,455
21 TOTAL ASSETS	445,775,641	467,741,173	467,040,289	468,119,268	480,228,078	607,251,909	558,094,154	556,800,774	559,941,978	570,100,886
B LIABILITIES										
22 Balances due to Central Bank of Kenya	-	-	2,993,220	-	-	-	-	2,993,220	-	-
23 Customer deposits	326,866,055	347,701,500	356,567,591	366,820,682	372,612,087	471,054,955	424,390,833	423,433,144	433,424,097	436,815,724
24 Deposits and balances due to local banking institutions	13,029,300	8,463,800	3,200,784	1,128,518	3,367,122	13,029,300	8,463,800	3,386,409	1,128,518	3,367,122
25 Deposits and balances due to foreign banking institutions	2,296,929	6,295,825	5,084,104	7,043	1,568,660	14,674,393	9,908,279	7,441,578	7,441,578	8,686,680
26 Other money market deposits	-	-	-	-	-	-	6,115,964	-	-	-
27 Borrowed funds	20,797,906	17,555,386	17,116,330	15,487,497	14,732,631	22,507,217	20,129,910	19,604,344	17,746,261	15,968,268
28 Balances due to group companies	-	-	-	5,946,867	1,448,486	-	-	-	-	-
29 Tax payable	-	247,995	2,045,457	219,890	528,295	12,358	314,180	2,055,370	297,988	590,170
30 Dividends payable	-	-	-	-	-	-	-	-	-	-
31 Deferred tax liability	-	-	-	-	-	-	100,043	120,208	31,558	61,857
32 Retirement benefit liability	-	-	-	-	-	-	-	-	-	-
33 Other liabilities	6,979,277	6,590,709	14,795,117	6,686,800	6,857,863	12,703,075	8,787,388	11,340,194	8,916,010	12,645,097
34 TOTAL LIABILITIES	369,869,467	386,855,215	401,802,604	396,297,297	401,115,144	525,422,869	476,840,547	472,841,168	468,986,010	478,134,918
C SHAREHOLDERS' FUNDS										
35 Paid up /Assigned capital	3,025,213	3,025,213	53,986,100	53,986,100	53,986,100	3,025,213	3,025,213	3,025,213	3,025,213	3,066,057
36 Share premium/(discount)	20,135,561	20,135,561	0	0	0	20,135,561	20,135,561	20,135,561	20,135,561	21,646,777
37 Revaluation reserves	(2,314,154)	(1,058,666)	(1,579,992)	(739,834)	(421,544)	(2,314,154)	(1,128,781)	(1,579,992)	(807,933)	(689,646)
38 Retained earnings/ Accumulated losses	47,056,990	44,166,421	3,443,919	7,283,795	14,417,711	51,805,691	43,699,536	46,075,340	56,445,818	55,690,815
39 Statutory loss loss reserve	6,615,964	8,044,803	8,865,457	10,769,710	10,608,467	7,890,109	8,947,452	9,730,858	11,635,111	11,529,764
40 Other Reserves/Remeasurement of defined asset/liability	1,286,600	522,200	522,200	522,200	522,200	1,286,600	522,200	522,200	522,200	522,200
41 Proposed dividends	-	6,050,426	-	-	-	-	6,050,426	-	-	-
42 Capital grants	-	-	-	-	-	-	-	-	-	-
43 TOTAL SHAREHOLDERS' FUNDS	75,806,174	80,885,958	65,237,685	71,821,971	79,112,834	81,829,020	81,253,607	83,958,606	90,955,968	91,965,968
44 Minority Interest	-	-	-	-	-	-	-	-	-	-
45 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	445,775,641	467,741,173	467,040,289	468,119,268	480,228,078	607,251,909	558,094,154	556,800,774	559,941,978	570,100,886
II STATEMENT OF COMPREHENSIVE INCOME										
	30-Sep-15 Kshs 000 Un-Audited	31-Dec-15 Kshs 000 Audited	31-Mar-16 Kshs 000 Un-Audited	30-Jun-16 Kshs 000 Un-Audited	30-Sep-16 Kshs 000 Un-Audited	30-Sep-15 Kshs 000 Un-Audited	31-Dec-15 Kshs 000 Audited	31-Mar-16 Kshs 000 Un-Audited	30-Jun-16 Kshs 000 Un-Audited	30-Sep-16 Kshs 000 Un-Audited
1 INTEREST INCOME										
1.1 Loans and advances	29,016,991	41,039,720	11,629,597	23,401,439	35,373,122	32,891,582	46,191,595	12,763,702	25,732,594	38,833,033
1.2 Government securities	5,379,933	7,515,622	2,874,484	5,117,357	7,772,854	6,530,891	9,117,249	3,329,937	6,087,802	9,129,525
1.3 Deposits and placements with banking institutions	115,648	157,855	128,421	296,741	542,227	241,823	470,493	189,238	341,755	628,560
1.4 Other Interest Income	-	-	-	-	-	-	604,195	-	-	-
1.5 Total interest income	34,512,571	48,713,197	14,389,933	28,815,537	43,688,202	39,664,296	56,383,823	16,282,877	32,162,151	48,581,118
2 INTEREST EXPENSE										
2.1 Customer deposits	8,764,008	13,717,424	4,317,495	7,381,539	9,800,684	10,041,601	15,295,887	4,784,991	8,374,979	11,407,817
2.2 Deposits and placement from banking institutions	1,016,229	1,345,813	229,485	401,211	641,087	1,263,930	1,852,091	996,140	733,533	1,042,544
2.3 Other interest expenses	-	-	-	-	-	-	-	-	-	-
2.4 Total interest expenses	9,780,238	15,063,238	4,546,980	7,782,750	10,441,771	11,305,531	17,147,978	5,781,131	9,108,512	12,450,361
3 NET INTEREST INCOME/(LOSS)	24,732,333	33,649,961	9,842,953	21,032,787	33,246,431	28,358,765	39,235,854	11,101,746	23,053,639	36,140,757
4 OTHER OPERATING INCOME										
4.1 Fees and commissions on loans and advances	3,357,247	4,545,325	949,645	2,042,500	3,484,409	3,661,513	5,366,204	1,114,941	2,422,685	3,708,409
4.2 Other fees and commissions	3,427,429	4,317,015	1,210,546	2,570,702	3,406,055	6,662,742	8,793,785	1,910,832	4,050,443	5,783,442
4.3 Foreign exchange trading income	1,729,920	2,202,692	446,624	1,035,796	1,617,857	2,926,590	4,067,466	746,686	1,575,932	2,398,903
4.4 Dividend Income	769	553,120	69	239	427	769	1,112	69	239	427
4.5 Other income	2,901,107	3,429,475	494,374	1,586,310	1,907,288	4,081,837	5,151,946	610,123	1,826,525	2,335,853
4.6 Total non-interest income	11,416,473	15,047,627	3,343,827	7,235,548	10,416,035	17,333,551	23,380,514	4,382,651	9,875,624	14,227,034
5 TOTAL OPERATING INCOME	36,148,806	48,697,589	13,186,780	28,268,335	43,662,466	45,692,316	62,616,468	15,484,397	32,929,263	50,367,791
6 OTHER OPERATING EXPENSES										
6.1 Loan loss provision	2,314,052	2,199,102	1,240,334	1,775,423	2,977,438	3,852,228	4,713,807	1,369,225	2,071,274	3,422,499
6.2 Staff costs	8,892,327	12,107,360	3,355,475	6,636,568	10,322,206	11,119,542	15,310,898	4,081,913	8,121,719	12,566,673
6.3 Directors' emoluments	87,071	129,973	29,696	57,318	13,906	217,837	262,770	67,012	112,815	192,152
6.4 Rental charges	376,817	515,381	176,598	361,422	544,801	968,422	1,617,589	294,644	703,180	1,099,093
6.5 Depreciation charge on property and equipment	878,598	1,180,946	368,788	622,613	934,573	1,415,337	1,876,766	448,836	813,526	1,197,185
6.6 Amortisation charges	354,049	487,095	103,381	329,338	534,010	408,060	558,682	119,880	361,874	584,102
6.7 Other operating expenses	6,230,592	8,633,116	1,930,967	4,521,334	6,627,458	8,315,492	11,738,084	2,488,598	5,649,873	8,361,924
6.8 Total other operating expenses	19,133,505	25,252,973	7,195,238	14,304,016	21,954,393	26,296,018	36,078,896	8,870,108	17,834,261	27,423,628
7 Profit/(loss) before tax and exceptional items	17,015,301	23,444,616	5,991,542	13,964,319	21,708,074	19,395,398	26,537,573	6,614,289	15,095,002	22,944,163
8 Exceptional items	-	-	-	-	-	-	-	-	-	-
9 Profit/(loss) after exceptional items	17,015,301	23,444,616	5,991,542	13,964,319	21,708,074	19,395,398	26,537,573	6,614,289	15,095,002	22,944,163
10 Current tax	(5,104,590)	(7,388,407)	(1,797,463)	(4,189,296)	(6,512,422)					

III OTHER DISCLOSURES		30-Sep-15	31-Dec-15	31-Mar-16	30-Jun-16	30-Sep-16	30-Sep-15	31-Dec-15	31-Mar-16	30-Jun-16	30-Sep-16
		Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000
		Un-Audited	Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Audited	Un-Audited	Un-Audited	Un-Audited
1 NON-PERFORMING LOANS AND ADVANCES											
a) Gross Non-performing loans and advances		18,187,505	19,289,119	26,135,275	27,680,305	26,446,810	24,547,953	23,477,475	30,436,873	32,978,280	31,096,578
b) Less Interest in Suspense		2,484,695	2,815,766	3,561,768	3,709,468	4,018,014	3,436,373	3,310,816	4,074,524	4,269,838	4,556,422
c) Total Non-Performing Loans and Advances (a-b)		15,702,810	16,473,353	22,573,507	23,970,837	22,428,796	21,111,581	20,166,660	26,362,349	28,708,443	26,540,155
d) Less Loan Loss Provision		8,802,107	9,387,792	10,842,355	12,648,423	11,571,667	12,201,221	11,292,003	12,603,423	14,533,676	13,484,947
e) Net Non-Performing Loans and Advances (c-d)		6,900,703	7,085,561	11,731,152	11,322,414	10,857,129	8,910,359	8,874,656	13,758,926	14,174,767	13,055,209
f) Discounted Value of Securities		6,900,703	6,068,222	7,613,893	6,853,209	5,020,473	8,910,359	11,867,690	10,654,600	11,535,277	8,076,704
g) Net NPLs Exposure (e-f)		-	1,017,339	4,117,259	4,469,205	5,836,656	-	(2,993,034)	3,104,326	2,639,490	4,978,505
2 INSIDER LOANS AND ADVANCES											
a) Directors, Shareholders and Associates		1,231,412	592,219	1,442,596	3,278,447	3,753,180	1,577,019	689,698	687,083	2,429,953	3,112,322
b) Employees		9,683,939	10,673,477	10,086,818	10,094,873	10,695,342	10,720,625	11,588,774	11,886,193	11,137,270	11,518,560
c) Total Insider Loans and Advances and other facilities		10,815,351	11,265,696	11,529,414	13,373,320	14,448,522	12,297,644	12,278,472	12,573,276	13,567,223	14,630,881
3 OFF-BALANCE SHEET ITEMS											
a) Letters of credit/guarantees, acceptances		59,645,759	57,786,037	58,567,508	62,205,612	65,219,825	62,729,347	60,635,178	61,155,145	64,802,260	68,260,283
b) Forwards, swaps and options		11,034,397	12,072,941	11,423,393	2,654,471	3,291,974	12,710,048	13,268,058	12,380,294	4,105,106	5,939,486
c) Other contingent liabilities		-	-	-	-	-	-	-	-	-	-
d) Total Contingent Liabilities		70,680,156	69,858,978	69,990,901	64,860,083	68,511,799	75,439,395	73,903,236	73,535,439	68,907,366	74,199,768
4 CAPITAL STRENGTH											
a) Core capital		54,638,685	56,103,143	54,789,410	57,579,883	60,290,197	68,609,218	73,340,524	75,655,525	75,902,992	80,178,650
b) Minimum Statutory Capital		1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	6,926,802	6,803,947	6,733,314	6,692,054	6,710,274
c) Excess (a-b)		53,638,685	55,103,143	53,789,410	56,579,883	59,290,197	61,682,416	66,536,577	68,922,211	69,210,938	73,468,376
d) Supplementary Capital		6,615,964	4,969,291	4,890,563	4,893,883	5,141,877	5,932,701	5,840,576	5,778,802	5,717,572	6,025,373
e) Total Capital (a+d)		61,254,649	61,072,434	59,679,973	62,473,766	65,432,074	74,541,919	79,181,100	81,434,327	81,620,564	86,204,023
f) Total risk weighted assets		392,711,985	397,490,368	391,245,046	391,510,613	411,334,139	474,616,118	467,246,047	462,304,131	459,909,760	482,029,816
g) Core Capital/Total deposits Liabilities		16.7%	16.1%	15.4%	15.7%	16.2%	14.6%	17.3%	17.9%	17.5%	18.4%
h) Minimum statutory Ratio		8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
i) Excess		8.7%	8.1%	7.4%	7.7%	8.2%	6.6%	9.3%	9.9%	9.5%	10.4%
j) Core Capital / total risk weighted assets		13.9%	14.1%	14.0%	14.7%	14.7%	14.5%	15.7%	16.4%	16.5%	16.6%
k) Minimum Statutory Ratio		10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
l) Excess (j-k)		3.4%	3.6%	3.5%	4.2%	4.2%	4.0%	5.2%	5.9%	6.0%	6.1%
m) Total Capital/total risk weighted assets		15.6%	15.4%	15.3%	16.0%	15.9%	15.7%	16.9%	17.6%	17.7%	17.9%
n) Minimum statutory Ratio		14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%
o) Excess (m-n)		1.1%	0.9%	0.8%	1.5%	1.4%	1.2%	2.4%	3.1%	3.2%	3.4%
5 LIQUIDITY											
a) Liquidity Ratio		26.2%	30.0%	32.7%	34.6%	30.7%	26.9%	48.3%	38.8%	41.8%	39.0%
b) Minimum Statutory Ratio		20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
c) Excess (a-b)		6.2%	10.0%	12.7%	14.6%	10.7%	6.9%	28.3%	18.8%	21.8%	18.0%

INTERIM DIVIDEND

The Directors do not recommend payment of interim dividend.

MESSAGE FROM THE DIRECTORS

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.kcbbankgroup.com

They may also be accessed at the institutions head office located at Kencom House, Moi avenue

Ngonyi Biwott: Chairman

Joshua Olgara: Group Chief Executive Officer & MD Kenya